



Executive Summary

Situation — background, no findings yet

- PowerCo, an energy retailer, asked BCG to investigate whether price sensitivity is driving customer churn, given a churn rate of ~9.7% across ~14,600 SME customers
- We built a Random Forest model on consumption, pricing, and contract data to test this hypothesis and flag customers likely to churn

Complication — the tension/problem, still no resolution stated

- Churn erodes revenue directly, and retention is cheaper than new customer acquisition, so getting the driver right matters
- Our analysis shows price sensitivity is not the main driver; net margin and consumption behavior matter more, which challenges the original assumption that discounting is the fix
- Customer price sensitivity is not the main driver for churn

Question

- Given that price isn't the main lever, how should PowerCo target retention spend and should broad discounting continue at all?

Solution

- Move away from blanket discounts; use the model's risk scores to prioritize outreach to high-value, high-risk customers, and refine the model further before rolling out a full targeting program